



**QUIDEL FIRST QUARTER 2021
CONFERENCE CALL SCRIPT
Thursday, May 6, 2021
2:00 p.m. PT/ 5:00 p.m. ET**

FINAL

OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation First Quarter 2021 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I'd now like to turn the call over to Mr. Ruben Argueta, Quidel's Director of Investor Relations. Please go ahead.

Ruben Argueta

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today is our president and Chief Executive Officer, Doug Bryant, and Randy Steward, our Chief Financial Officer.

Our first quarter 2021 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our IR website following the conclusion of this call, on May 6th, for a period of 24 hours.

Please note that this conference call will include forward-looking statements within the meaning of Federal securities laws. Forward-looking statements, by their nature involve material risks, assumptions and uncertainties. In particular, our expectations and assumptions around the COVID-19 pandemic impact and response on our business, results of operations and financial condition and that of our suppliers, customers and other business partners are highly uncertain, continuously evolving, and unpredictable. Many possible events or factors could affect our future financial results and performance, such that our actual results and performance may differ materially from those in the forward-looking statements. For a discussion of such factors,

please review Quidel's most recent annual report on Form 10-K, including the section titled "Risk factors", registration statements and subsequent quarterly reports on Form 10-Q, as filed with the SEC.

Furthermore, this conference call contains time-sensitive information that is accurate only as of the date of the live broadcast, May 6, 2021. Quidel undertakes no obligation to revise or update any statements to reflect events or circumstances after the date of this conference call, except as required by law.

Today, Quidel released financial results for the three months ended March 31, 2021. If you have not received our news release, or if you would like to be added to the company's distribution list, please contact me at 858-646-8023.

Following Doug's comments, Randy will briefly discuss our financial results. Then, we'll open the call to take your questions.

I'll now hand the call over to Doug for his comments.

DOUG BRYANT

Thank you Ruben, and good afternoon everyone. Thank you all for being with us. I know it's quite late for many of you, but your time and interest in our company are appreciated.

As you saw in our press release, our first quarter 2021 results showcase a very strong performance, execution, and capital discipline of our Quidel Team. We delivered a 115% increase in revenue, a 163% increase in gross profit and an approximately 340% increase in net income and earnings per share, compared with the same period a year ago.

We achieved this growth while simultaneously launching new products expected to have high-impact (like our QuickVue At-Home OTC rapid antigen test, and Solana SARS CoV-2 Assay), completing the construction of a new distribution center, continuing to establish our new manufacturing facility in Carlsbad, managing a challenging supply chain, negotiating regulatory clearances, and advancing innovative new product platforms that will give us the foundation to capitalize on mass-market opportunities that will serve Quidel well into 2021 and beyond.

These results would not be possible without the extraordinary vision, talent, commitment, and grit of the entire Quidel Team. We see it every

day in our labs, manufacturing facilities, and packaging operations, as well as across our strategic and specialty teams – from Regulatory and Quality to HR, Marketing and Emerging Markets. Everyone is stepping up big to take on the unique challenges brought on by the global pandemic.

While doing our part in the fight against COVID has remained a top priority for us, we have also undergone a significant transformation as a company over the last several years centered on the belief that what we do empowers others to take charge of their personal health and well-being. In doing so, our customers can pay it forward by taking prudent steps to protect their families, coworkers, and communities. That is the diagnostics-based force multiplier that is helping to contain the pandemic.

The breakthrough products we have introduced are meeting society's needs thanks to our R&D and innovation teams. As a result, we have several other strategic growth drivers worth noting:

As most of you know, we are poised to introduce Savanna®, a multiplex molecular analyzer that enables professional customers to analyze up to 12 pathogens or targets, plus controls, in a single assay run in under 25

minutes, and built on our proven, robust real time PCR techniques. Given an ingenious combination of many unique factors, we managed to achieve superior and differentiating performance for turnaround time, simplicity, ease-of-use, modularity and versatility of the platform. This revolutionary Savanna technology promises to disrupt and decentralize multiplex molecular testing, extending “big iron” centralized lab capabilities to moderately complex labs, regional hospitals, and potentially physician offices, urgent care clinics and other point-of-care settings. Feedback from customers has been tremendous. We have submitted our first Savanna 4-analyte respiratory panel to the FDA recently and we expect to submit our first 510(k) package for the Savanna platform in the back half of this year.

Regarding Cardiometabolic product development, we began U.S. clinical trials in April for Triage hsTroponin and expect to submit a de novo 510(k) for PIGF, placental growth factor, this quarter.

Very soon, we look forward to introducing our long-awaited Sofia® 2 Coronavirus Antibody Test (or as it will be more properly known, “the Sofia® 2 SARS-CoV-2 Antibody IgG FIA”). Our proprietary technology employs immunofluorescence for the rapid qualitative and differential detection of human IgG antibodies to SARS-CoV-2 nucleocapsid protein

(N), Spike Protein 1 (S1), and Spike Protein 2 (S2) from fingerstick whole blood, venous whole blood, and serum and plasma specimens from patients suspected of COVID-19 exposure. Our Sofia 2 analyzer instrument also reports semi-quantitative signal-to-cutoff (S/CO) values for antibodies to each protein, which is an indicator of antibody titers - or levels - in the body. That's the technical side of the story, but the use case is far more understandable and compelling. Patients who experienced COVID-like symptoms before PCR and antigen tests were widely available, want to know two things: did they have COVID, and do they have antibodies against future infections? Our COVID blood test detects antibodies to three distinct parts of the virus along with the individual's degree of active immune reaction to COVID-19. The test can also be used to confirm a vaccinated patient's passive immune reaction by detecting antibodies to Spike 1, which is the single target protein for current COVID-19 vaccines. We plan to submit to the FDA an EUA packet imminently and believe that access to this antibody test will bring peace of mind to countless people with pressing concerns about their immunity or vulnerability to COVID-19 infection. We are already getting calls from urgent care and medical practices with patients asking for the test.

Also in the coming months, we look forward to introducing our compact and competitively priced Sofia Q analyzers, which should accelerate and amplify Sofia platform penetration across traditional point-of-care outlets and, ultimately, reach the over-the-counter market.

During the first quarter, we also focused on portfolio and channel expansions to enable Quidel to enter new markets, which we expect to be significant drivers of market demand and revenues going forward. Several of these opportunities have been secured and are beginning to take shape in the second quarter.

Perhaps the most significant inflection point for our company came on the final day of the first quarter, when we received EUA from the FDA for nonprescription use of our QuickVue® At-Home OTC COVID-19 Test for pre-symptomatic and asymptomatic screening through serial testing. This over-the counter sales authorization and embrace of frequent testing represents a sea-change for viral diagnostics regulation that is already generating a wave of demand for at-home testing and testing for re-opening at schools, workplaces, and entertainment sites.

The next day, which was the first day of our second quarter (for those of you keeping score), we received an EUA for serial screening with our

Sofia SARS product. This clearance for objective, observed screening provides employers, sports leagues, and countless other commercial operations with a means to give their employees and patrons greater peace of mind when returning to commercial workplaces and venues, with assurance of compliance with FDA and CDC guidelines.

Both the QuickVue OTC and the Sofia® screening EUAs are truly path-breaking regulatory developments that overcome significant barriers to both market adoption and the benefits that flow from frequent antigen testing.

The potential implications of this regulatory shift extend well beyond the immediate addressable markets for OTC at-home and re-opening testing at schools, workplaces and entertainment sites. We see tremendous opportunities ahead to leverage our rapidly expanding installed base of 70,000 Sofia analyzers along with the exponential rise of telemedicine to drive sales of our full array of Sofia assays for flu, Strep, Lyme disease, and a host of other conditions. Similarly, we believe broad consumer adoption of our QuickVue At-Home tests could open the door to OTC approvals for at-home use of several of our other diagnostic products and platforms.

Quidel is determined to capture significant share in these newly addressable markets through our strategic partnerships with global distribution and retail leaders including McKesson and Walgreens. We believe that these partnerships could be significant and helpful in driving brand awareness as well as significant retail scale.

- For example, our partnership with McKesson enables us to continue to supply our existing customers in the professional segment while at the same time reaching significant new markets such as retail, testing for reopening schools, and for health departments, employers, entertainment centers, and many other locations. Our agreement with McKesson will provide us with access to multiple retailers and its Health Mart franchise, allowing Quidel access to a network of over 5,000 independent pharmacies. Finally, McKesson will provide us with the ability to rapidly introduce products across multiple e-commerce sites, such as Amazon, eBay, and Simply Medical.
- Our partnership with Walgreens will allow us to sell our QuickVue At Home OTC COVID-19 Test to consumers at any of the more than 7,600 Walgreens locations in the U.S. and Puerto Rico, or at

walgreens.com, further enabling consumers to take charge of their own health.

These important and significant partnerships will give us unprecedented exposure to the OTC segment as well as fulfillment pathways to serve employer groups that are seeking to bring employees back to offices and worksites.

We are extremely proud of these new partnerships and the promise they hold for democratizing access to our innovative rapid antigen tests for the well-being of families, workplaces, and communities everywhere.

As we look at the second quarter, in the month of April we realized the same demand for our Professional COVID tests as we did in February and March. For May and June, we anticipate some reordering of our professional COVID tests, and expect accelerating demand for our QuickVue At Home OTC test aided by our key strategic partnerships. Moving forward, we see increasing revenue opportunities tied to at-home and on-site testing of asymptomatic individuals in support of back to school and work initiatives, but it's still very early.

In summary, we have a powerful mix of products, partnerships, and macroeconomic trends. COVID-19 testing, which represents a significant component to our near term growth strategy, is just one aspect of the long runway ahead of us. While it's hard to model with any certainty the effect that COVID will have on our business, we are confident that there are three macro trends— symptomatic testing, asymptomatic screening, and at-home testing – that could prove to be material to both market demand and our revenue growth going forward.

These innovative products, combined with the gateways they provide for our broader portfolio of diagnostic assays, pave a long, exciting roadmap for our continued growth and success as we advance diagnostics to improve human health. That's our value proposition. While we understand that we will report revenue and margin each quarter and, to a certain extent, be valued based on short term performance, the longer term value of our company is far greater.

Randy?

RANDY STEWARD

First Quarter Financial Results

Thank you, Doug. Good afternoon everyone. As Doug stated, we saw very strong year over year growth in the first quarter. We continued to make significant progress to develop, introduce and scale new COVID-19 assays, as well as progress on our longer-term goals and strategy, which involve the rest of our product portfolio.

As reported, total revenues for the first quarter of 2021 were \$375.3 million dollars, compared to \$174.7 million dollars in the first quarter of 2020. The 115% increase in revenue was driven by significant growth in our Rapid Immunoassay and Molecular categories, due to strong demand for our rapid antigen and PCR COVID-19 diagnostic products, and to a lesser extent, demand for our Solana isothermal molecular products. In the quarter, we also saw solid growth from our Cardiometabolic line, while our Specialized Diagnostic Solutions product category saw modest declines. Foreign currency had a positive impact of \$2.1 million dollars in the quarter.

It is interesting to note that, for the first time in 10 years, the CDC's ILI data never crossed the 2% threshold for percent positive cases, illustrating the fact that there effectively was no influenza season. Our "all in" flu revenue for the quarter was \$5.2 million compared to \$79.6 million in the first quarter of last year.

Rapid Immunoassay product revenues increased \$141.7 million dollars to \$237.7 million dollars in the first quarter of 2021. Within this category, Sofia products grew \$156.4 million dollars, or 240%, to \$221.6 million dollars, of which \$212.1 million dollars were attributed to Sofia SARS Antigen sales. Of the \$15.0 million dollars in QuickVue product revenue in the quarter, \$12.4 million dollars were attributable to the QuickVue SARS test. As a reminder, we did not receive the EUA for our QuickVue At Home OTC COVID-19 Test until March 31st.

For the Cardiometabolic Immunoassay business, revenue was \$66.6 million dollars, a 23% increase from the first quarter of 2020. This is our second consecutive quarter of year-over-year growth for our cardiometabolic segment, demonstrating a return to pre-COVID levels, as we continue to see strong performance from both our Triage and Beckman BNP global businesses. Of the \$66.6 million dollars in Cardiometabolic revenue in the first quarter, \$33.0 million dollars came from the Triage business, and \$33.5 million dollars came from the Beckman BNP business. On both the Triage and Beckman BNP sides, year-over-year growth came from all geographies.

Revenue in the Specialized Diagnostic Solutions category decreased \$5.6 million dollars in the first quarter to \$10.9 million dollars, driven by a decline in sales in our respiratory products from our cell culture business, the result of very little non-COVID respiratory disease.

Our Molecular Diagnostic Solutions category increased \$51.9 million dollars in the quarter to \$60.3 million dollars, driven by \$51.6 million dollars in sales of our Lyra SARS-CoV-2 products. Solana revenues grew 11% to \$7.1 million in the quarter. Solana SARS-CoV-2 assay generated \$4.2 million dollars of the \$7.1 million dollars in the quarter. This was below our internal estimates due to the late EUA approval for the product, resulting in it being a late entrant into the market.

Gross Profit in the first quarter of 2021 increased \$187.0 million dollars to \$302.0 million dollars, and gross profit margin was 80%. Margin improvement was driven by the demand for the SARS-CoV-2 assays, which drove favorable product mix. The sequential decrease versus fourth quarter 2020 was also due to product mix, with less SARS-CoV product sales.

As it relates to operating expenses, we continue to invest in R&D, with the goal of launching our Savanna platform, and advancing on our

longer-term initiatives, new Sofia assays that can leverage our large installed base of instruments, next generation platforms like Sofia Q, and other exciting technologies. We will also continue to invest in Sales & Marketing as we develop more partnerships and expand sales promotions and marketing dollars in new markets such as at-home testing, OTC, and other markets that can significantly broaden our customer base.

As it relates to the provision for income taxes for the quarter, we recorded \$44 million in income tax expense resulting in an effective tax rate of 20%. Tax benefits from excess stock-based compensation affected our effective tax rate in the quarter by approximately 3 percentage points. We are currently estimating a full year effective tax rate between 22% - 23% for 2021, excluding any potential impact of legislation, which remains uncertain.

As of the end of March, we had \$981.1 million in cash and cash equivalents. During the first quarter, we generated \$585.5 million in cash flow from operations. In the quarter, the company also invested \$64.6 million in capital expenditures.

Relating to capital deployment in April, we made our annual \$48 million-dollar payment to Abbott for the Alere assets, and have a remaining balance of only \$88 million dollars on our Deferred Consideration to be paid over the next 2 years. For the remainder of the year, we plan on spending approximately \$200 million in support of our Savanna cartridge manufacturing, increased capacity for our immunoassay products, and upgrading our overall information systems.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

Q&A

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. We had an excellent first quarter, and we're in good shape to achieve our growth objectives over the next few years. Thanks again for being on the call.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.